

EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>\$200B) · Report Date: July 27, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-07-27

HOLD

Composite · Valuation: HOLD

Target \$527.16 · -4.6% upside

Price \$552.74

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$527.16 (-4.6% vs \$552.74); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Strong top-line growth (15.8% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$527.16	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BEARISH	Bearish	20%
Quantitative	NEGATIVE	Score -0.30 · 12m -2%	15%
Composite	HOLD	Score -0.18 · 75% confluence	—

Mixed signals across pillars.

INVESTMENT THESIS / EXECUTIVE SUMMARY

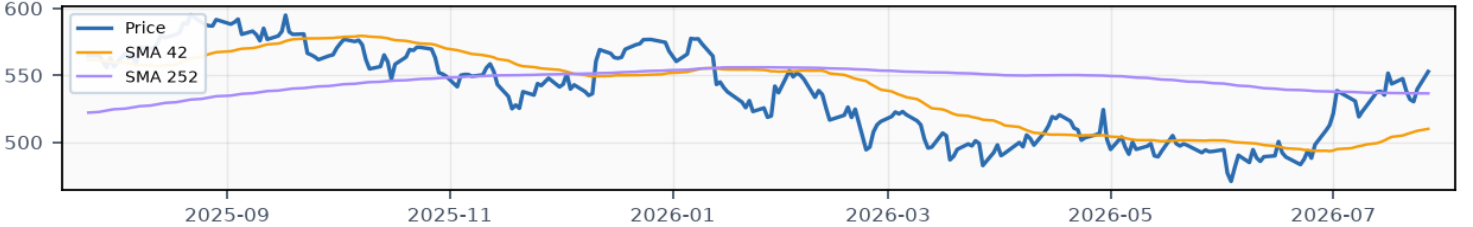
Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **HOLD** rating; blended target \$527.16. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$488.39B	Shares Out.	877.0M
52-Week Range	\$464.52 – \$601.77	P/E (TTM)	32.0x
P/B	73.0x	Beta	0.73
Avg Volume	3.79M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$33.94B	Rev Growth	+15.8%
Op. Margin	60.8%	FCF (TTM)	\$16.43B
Gross Margin	100.0%	ROE	2.3%
EV/EBITDA	22.8x	Debt/Equity	282.1%
EPS (TTM)	\$17.27	Div Yield	64.0%

PRICE TREND · SMA 42 / 252

MA · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	28,167	32,791	37,972	42,456	46,285
Revenue Growth (%)	N/A	16.4%	15.8%	11.8%	9.0%
Net Income (\$M)	12,874	14,968	17,333	19,380	21,127
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS (\$)	14.68	17.07	19.76	22.10	24.09
P/E (x)	37.66	32.39	27.97	25.01	22.95

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$509.95	Short-term trend	12m Momentum	-2.1%	
SMA (252d)	\$536.45	Long-term trend	3m Momentum	+9.3%	
RSI (14d)	60.9	Momentum oscillator	Ann. Volatility	24.0%	
Trend	Bearish		Sharpe Ratio	0.16	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-28.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	-34.1%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$509.95, SMA252=\$536.45	Quant Score	-0.30	NEGATIVE
			SMA Backtest (ann.)	11.5%	B&H; 13.6%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$497.93	-9.9%	80%	Included in blend
Comps — Blended	\$259.17	-53.1%	0% (excluded)	Diverges below other methods (45% of median)
Analyst consensus	\$644.05	+16.5%	20%	Included in blend
Blended target	\$527.16	-4.6%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.01%	1.90%	12.00%	\$436.70B	\$497.93	-9.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	\$228.50B	20.3x	N/A	16.1%	+12.8%
PYPL	PayPal Holdings, Inc.	\$49.59B	10.5x	7.9x	15.0%	+7.2%
COF	Capital One Financial	\$126.59B	11.4x	N/A	21.9%	N/A
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	\$488.39B	32.0x	22.8x	45.9%	+15.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (15.8% YoY); High operating leverage (60.8% margin); Defensive profile (β=0.73) · Risks: Elevated leverage (D/E: 282%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.